DRN-2922192

The complaint

Mr and Mrs W complain that St Andrew's Insurance Plc (St Andrew's) have unfairly applied a flood loading to their home insurance policy which has affected the price of their policy.

Although Mr and Mrs W's correspondence and telephone conversations have been with their bank, my decision will only refer to St Andrew's as the underwriter of their home insurance policy.

What happened

Mr and Mrs W have bought their home insurance policy with St Andrew's through their bank since 2002. They'd been generally comfortable with the premiums charged over the years.

They've regularly engaged with the premiums by adding and taking away parts of the cover provided. But in recent years they've been unhappy with the premiums charged after their property was identified as a flood risk. They first found out about this in August 2015.

Mr and Mrs W say their home isn't a flood risk. They provided some online information to evidence this. They also say they've never experience flooding in their 41 years in the property. And that the position of their house is such that flooding couldn't occur. But they say that St Andrew's haven't taken this information into account when pricing their policy.

Mr and Mrs W say that the premiums for their home insurance policy have increased by 20% at each of the 2018, 2019 and 2020 renewals because of the perceived flood risk. In September 2019 Mr and Mrs W complained to St Andrew's about the recent large premium increases.

St Andrew's confirmed that the premiums Mr and Mrs W had been charged were correct for the cover provided. They didn't uphold the complaint. So Mr and Mrs W brought the complaint to this service.

Our investigator didn't uphold the complaint. She didn't think that St Andrew's had treated Mr and Mrs W unfairly or that they caused them to suffer a financial loss. So this complaint has come to me for a final decision.

After our investigator issued her view, which had focused on the premium pricing over the years, Mr and Mrs W clarified that their complaint was that their home hadn't been correctly assessed by St Andrew's in terms of the flood risk. I will cover this issue in my decision.

I issued a provisional decision on 20 April 2021. I said:

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I don't intend to uphold this complaint. I'll explain why.

This complaint is about how an insurer prices for a flood risk. Mr and Mrs W have said that although their home is in a postcode where some of the houses do have a flood risk, theirs *does not. They've explained that an earth defence flood barrier was constructed in 2009 along their road. And that this barrier has saved homes which once flooded.*

Mr and Mrs W have also explained that their home is up a slope and is built well back from the road. The nearest river is behind the flood defences. So they say they don't need any protection from flooding at their home due to the position of the property.

St Andrew's said that Mr and Mrs W's home has been identified as a flood risk since at least 2015. So the premiums they've charged since then have reflected this risk. They've also said that no alternative products are available as they wouldn't insure the property if it was new business.

St Andrew's have confirmed that Mr and Mrs W's home insurance policy was ceded to Flood Re and that they'd benefited from this since the 2016 renewal. They said that if the policy hadn't been ceded to Flood Re, the risk price would currently be much greater than it is now.

Mr and Mrs W have said that their property is rated as low to very low flood risk on Flood Re. I've confirmed this myself on the Flood Re website. Flood Re is a joint initiative between the Government and insurers. Its aim is to make flood cover part of home insurance policies more affordable. But Mr and Mrs W note that even with Flood Re in operation they've "not found home insurance any more competitive or affordable".

We asked St Andrew's to explain what data they used that made them change the flood risk rating on Mr and Mrs W's policy in 2015.

St Andrew's told us that the premium increase from 2014 to 2015 was the result of the switch from postcode rating to address point rating. They explained that the flood band rating applied to Mr and Mrs W's policy increased significantly from 2014 to 2015 because of this change.

Mr and Mrs W have said: "All we are asking for is our home to be treated individually on this postcode and not as a flood risk because of its position. This is the reason for our complaint to you now and the insurance companies over years".

Unfortunately, I consider that it's fair for St Andrew's to treat all properties within the same postcode the same. This is because it's consistent to all customers. Whilst each property within a particular postcode won't necessarily be as close to a water source as all the other properties, policies of this nature aren't underwritten on an individual basis.

To do so would involve carrying out a detailed assessment of each property to determine its precise risk. This would be extremely costly. So whilst I've taken on board Mr and Mrs W's point that their house isn't a flood risk, even though some of the houses with the same postcode are, I don't think the fact that St Andrew's relies on the postcode as a rating factor is unfair.

I also don't consider it was unfair of St Andrew's to change the way they assess flood risk. Insurers regularly re-assess their view of flood risk. And the way they do this has become increasingly sophisticated over recent years. Insurers now have complex flood modelling programmes which provide them with much more detail and analysis than ever before.

There's no right or wrong way of assessing flood risk even though Mr and Mrs W may strongly disagree with St Andrew's view. They're entitled to set a premium that they feel fairly reflects the risk of insuring Mr and Mrs W's property against flood and other risks.

St Andrew's have explained to us why they've increased Mr and Mrs W's premium so significantly. I'm satisfied that they've shown how the flood risk factor has impacted their premium. I'm also satisfied that they would've treated any of their customers with similar circumstances in the same way. Mr and Mrs W weren't singled out and so I don't think they've been treated unfairly by St Andrew's.

I have every sympathy with Mr and Mrs W's position. They've said "However hard we try we just cannot get a better deal with this flood postcode now". This must be incredibly frustrating. But I don't consider that St Andrew's have treated them unfairly or unreasonably.

Response to my provisional decision

Mr and Mrs W didn't agree with my provisional decision. They said they couldn't understand why St Andrew's can say that their flood risk increased significantly because of the change from postcode rating to address point rating. They said address point rating was good news for them. And that their premiums only increased by 1% between 2014 and 2015 with this change.

Mr and Mrs W also said that their premiums first began to increase significantly when they were transferred into the Flood Re scheme in 2016. So they can't believe that St. Andrews is using that scheme correctly. They note that their premium has more than doubled between August 2015 and August 2020. So they don't understand how St. Andrews can state that their premium would be even higher without the help of Flood Re.

They noted their understanding that Flood Re is a not-for-profit scheme set up to help customers who live in flood-prone areas to be able to purchase insurance at a lower price. And while they expected a little of the cost of the Flood Re scheme to be passed on to its customers, they don't feel they've been treated at all fairly. They questioned whether the Flood Re scheme has been used properly for them.

Mr and Mrs W also told us about the development work that was happening in their local area. In their view, this was proof that the permanent earth defence barrier that'd been built will protect the local area now and into the future. And that people have confidence in the flood defences. They noted that there'd been no property flood claims on their road since the barrier had been built. So they questioned how St Andrew's data could suggest that their flood risk was actually rising rapidly.

Mr and Mrs W also questioned St Andrew's definition of new business. And queried whether they would only now insure homes with no flood risk. They wanted to find out if there were other customers like them who felt they weren't able to move to a different insurance company.

St Andrew's didn't respond to my provisional decision. But after receiving Mr and Mrs W's response, we asked them a number of questions.

St Andrew's underwriters responded to our questions on 12 July 2021. They said that "*the modelling of risk is a complex and evolving process, and this is particularly true for flood risk*". They noted they use multiple sources to accurately model the risk of flood. They said: "*These sources include but are not limited to, data from third party companies that specialise in modelling flood risk, local authority flood maps and data from the Environment Agency*". They said they assess risks based on their best view at each point in time.

St Andrew's confirmed that they began to use address point rating in 2015. They said its use enables them to differentiate by individual property. They said that they acknowledged that Mr and Mrs W had a different perspective of the flood risk. But that they base their assessment of risk on multiple sources of data.

St Andrew’s said that Mr and Mrs W's flood risk premium didn’t increase as a direct result of the Flood Re scheme. They noted that when their policy was transferred to that scheme, the flood risk element of the premium was capped in line with the agreed principles for Flood Re. They said that if the flood risk premium was lower than the capped amount, it wouldn’t have been ceded.

However, St Andrew’s also said that the flood risk premium is only one element of the total cost of insurance. Other changes they made also led to pricing changes between 2015 and 2016 and later. Unfortunately, I’m not able to detail what these were as the information is commercially sensitive. But, from the information I’ve been given, I can see that Mr and Mrs W’s premium increases since 2016 have been in line with St Andrew’s general pricing policy. St Andrew’s also said that if Mr and Mrs W’s flood risk premium hadn’t been capped or ceded to Flood Re then they would be paying more.

St Andrew’s also confirmed that Flood Re insurance companies don’t only insure homes with no flood risk, even if they were built before 2009. They said that since Flood Re launched, it’d become easier to get a quote from an alternative insurer due to most high flood risk addresses being ceded into the scheme. But that it’s still up to individual insurers whether they quote for a particular risk or not.

What I’ve decided – and why

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

Mr and Mrs W raised a number of questions following my provisional decision.

They questioned why their premiums had gone up when address point rating came in, noting it should’ve been good news for them. St Andrew’s confirmed that address point rating hadn’t been the cause of the large increases to their premium. But that they based their assessment of flood risk on multiple sources of data. They noted that other commercial actions they’d taken had also led to Mr and Mrs W’s premiums increasing. But that their premiums had been priced correctly in line with St Andrew’s pricing policy.

Mr and Mrs W also felt that the Flood Re scheme wasn’t working properly for them. But St Andrew’s said that their policy had been correctly ceded to that scheme. And that they’d be paying a bigger premium if their policy hadn’t been ceded to Flood Re.

Mr and Mrs W also questioned St Andrew’s definition of new business, as they felt they were tied to them for their home insurance now. But St Andrew’s said that the existence of Flood Re meant that it’s now easier to get a quote from an alternative insurer than it was before that scheme was in place. I appreciate that Mr and Mrs W haven’t found this to be the case.

Having considered all of Mr and Mrs W’s points and St Andrew’s responses, I’m afraid I’ve not seen anything that has changed my opinion. I know this will be disappointing, but I remain of the view I set out in my provisional decision.

I acknowledge that Mr and Mrs W are in an extremely frustrating position. I can see that from their perspective, their home isn’t at risk from flooding. But from what they’ve told me, the insurance market thinks it is.

St Andrew’s have explained how they’ve assessed the flood risk for Mr and Mrs W’s home. They’ve also explained how they’ve priced the policy. I’m satisfied that they would’ve treated any of their customers with similar circumstances in the same way. So I've found nothing in their explanations that I can call unfair or unreasonable.

So based on everything I've seen, I can't ask St Andrew's to do anything more.

My final decision

For the reasons given above, I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs W and Mr W to accept or reject my decision before 10 August 2021.

Jo Occleshaw
Ombudsman